

E-Business Strategies: From Formulation to Execution

Navigating the digital landscape requires more than just good intentions—it demands strategic thinking, careful planning, and flawless execution.



Why E-Business Strategy Matters Today



Issues for managers

- How does e-business strategy differ from traditional business strategy?
- How should we integrate e-business strategy with existing business and IS strategy?
- How should we evaluate our investment priorities and returns from e-business?

85%

Lack Formal Strategy

Top companies without structured e-business plans

E-business is no longer optional; it's essential for survival in the digital economy. Yet 85% of top companies still lack a formal e-business strategy, leading to wasted investments and failed digital initiatives.

\$2.7T

Global E-Commerce

Annual digital sales worldwide

Without a clear strategic roadmap, organizations struggle to compete in an increasingly digital marketplace where customer expectations evolve rapidly.

3X

Growth Rate

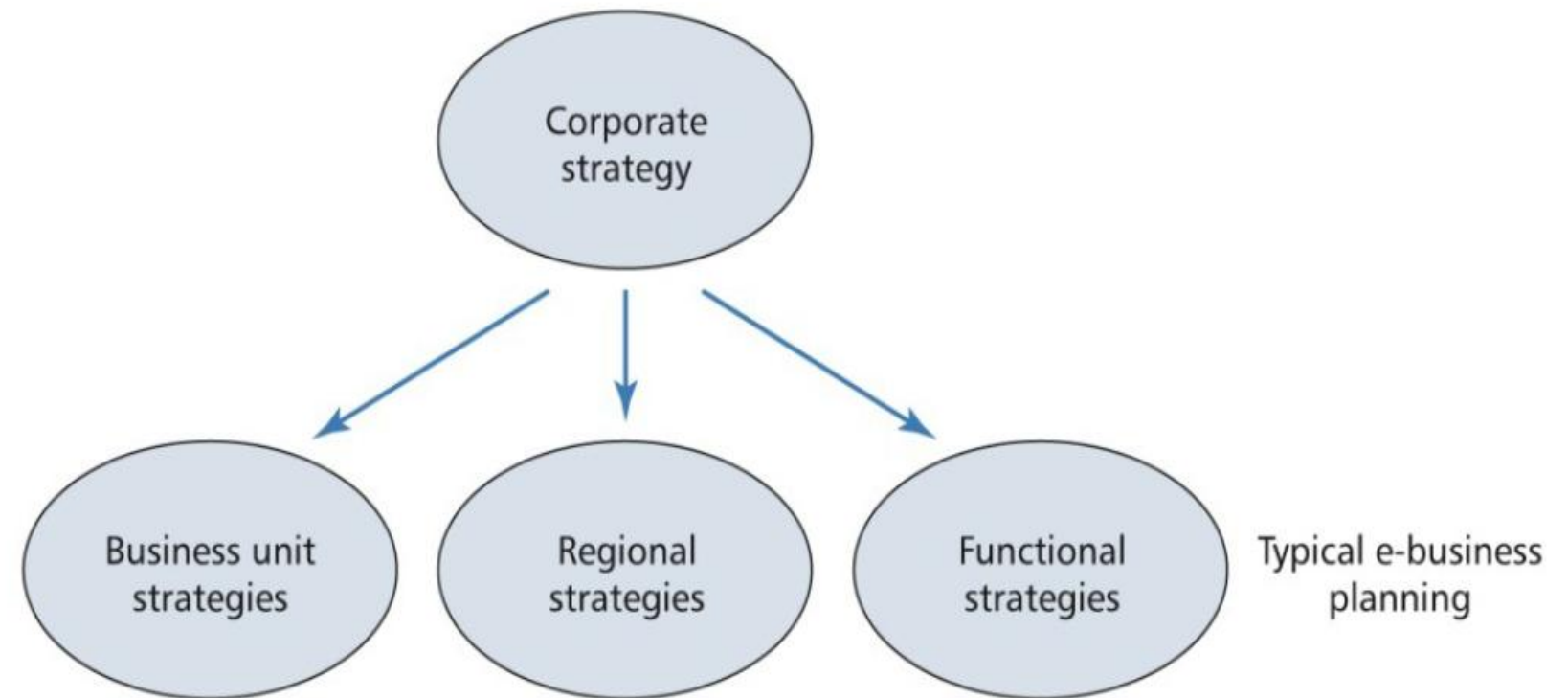
Digital channels outpacing traditional retail

Michael Porter on the Internet

- *‘The key question is not whether to deploy Internet technology – companies have no choice if they want to stay competitive – but how to deploy it.’*

Porter, M. (2001) Strategy and the Internet,
Harvard Business Review, March 2001, 62–78.

Different forms of organizational strategy





FOUNDATION

Formulating Your E-Business Strategy: The Starting Point

01

Define Clear Business Aims

Align digital opportunities with core business objectives and create measurable goals that reflect your organization's vision.

03

Avoid Bandwagon Mistakes

Don't imitate competitors without commitment and organizational change—develop strategies unique to your context.

02

Assess Feasibility

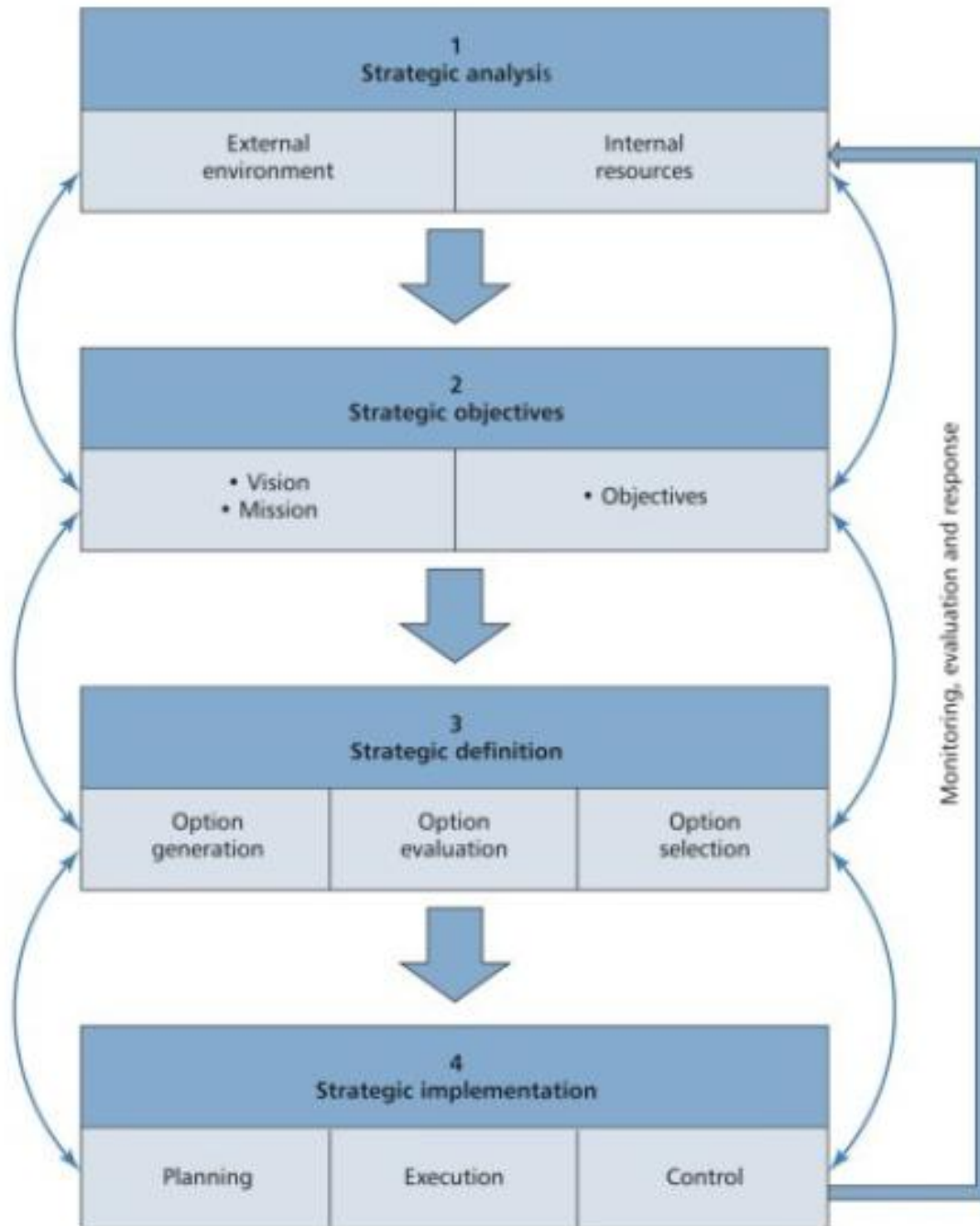
Evaluate technology readiness, market demand, and internal capabilities to ensure your strategy is grounded in reality.

04

Define Unique Value

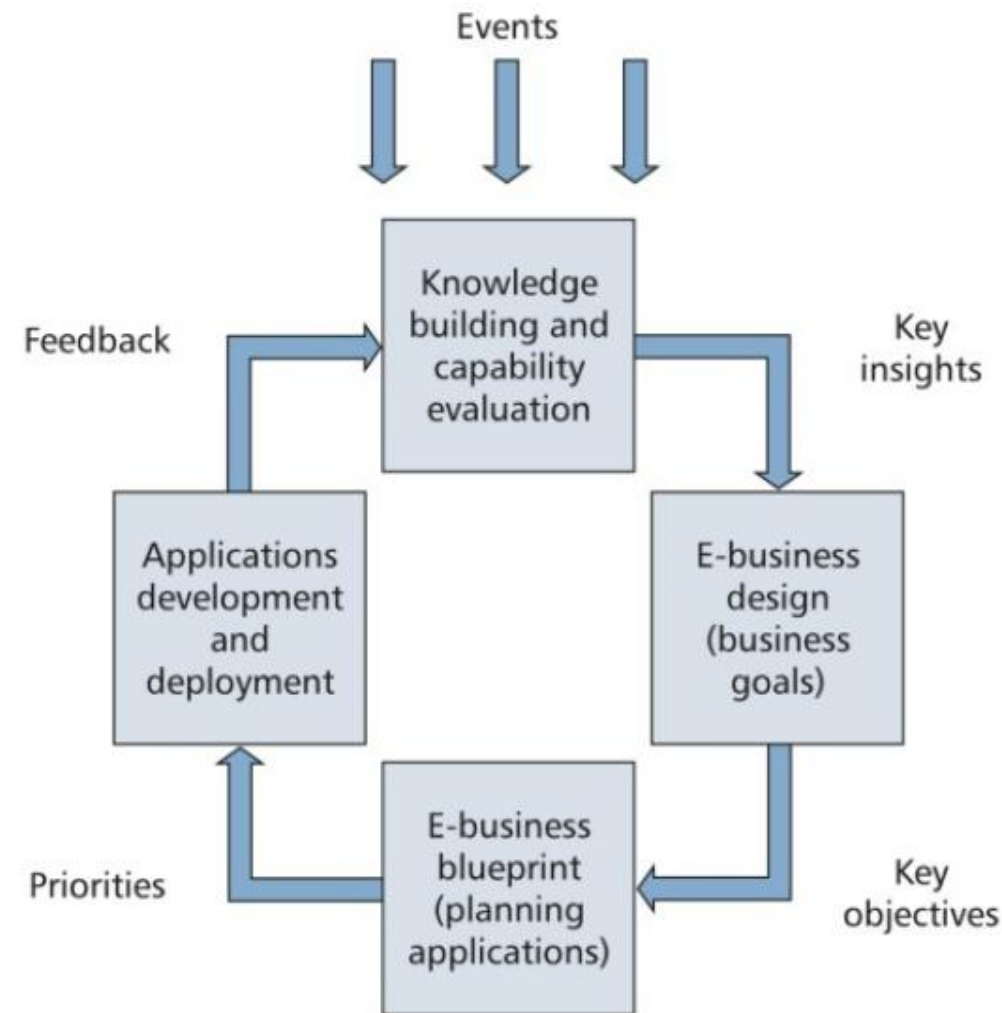
Ask the critical question: What distinctive value will your e-business deliver that competitors cannot easily replicate?

Typical Strategy Process Model Overview



- Standard and widely accepted approach to strategy development used by organizations to plan their business direction.
- Emphasizes a logical and sequential flow, where strategy moves step-by-step rather than being ad-hoc or random.
- Begins with analysis, which typically involves understanding the business environment, market conditions, competition, and internal capabilities.
- Progresses to strategy formulation, where insights from analysis are converted into strategic goals, choices, and plans
- Leads into strategy implementation, focusing on executing the chosen strategy through processes, resources, systems, and people.
- Highlights the importance of structured planning, ensuring that decisions are well thought out and aligned with organizational objectives.
- Reinforces the idea that successful strategies are not accidental but are the result of a disciplined and methodical process.
- Serves as a baseline model, against which more dynamic or flexible strategy models (shown in later slides) can be compared.

Dynamic e Business Strategy Process Model



- Introduces a dynamic approach to e-business strategy, emphasizing that strategy is not static but continuously evolving.
- Highlights that e-business strategy must be flexible and adaptive, responding to rapid changes in technology, markets, and customer expectations.
- Suggests that strategy development and execution occur in an ongoing cycle, rather than following a one-time, linear sequence.
- Implies the presence of feedback loops, where learning from implementation informs further analysis and refinement of strategy.
- Emphasizes continuous learning and adjustment, allowing organizations to react quickly to digital disruptions and new opportunities.
- Contrasts with the traditional strategy model by focusing on agility, responsiveness, and real-time decision-making in digital environments.
- Serves as a bridge between strategy formulation and execution, showing that both happen simultaneously in successful e-businesses.
- Reinforces the idea that successful e-business strategies are continuously reviewed, tested, and improved, rather than fixed long-term plans

An illustration of a woman with dark hair in a bun, wearing a light-colored blazer and dark trousers, sitting in a modern office chair at a white desk. She is looking at three computer monitors displaying various charts and graphs. The desk has a few small potted plants and a coffee cup. The background is a warm, yellowish-orange wall with a large window and a hanging lamp.

Internal and External Factors Shaping Strategy

Successful e-business strategies emerge from a comprehensive understanding of both the internal organizational landscape and the external market environment.

Internal Factors

- Core competencies and capabilities
- IT infrastructure readiness
- Leadership commitment
- Organizational culture
- Financial resources

External Factors

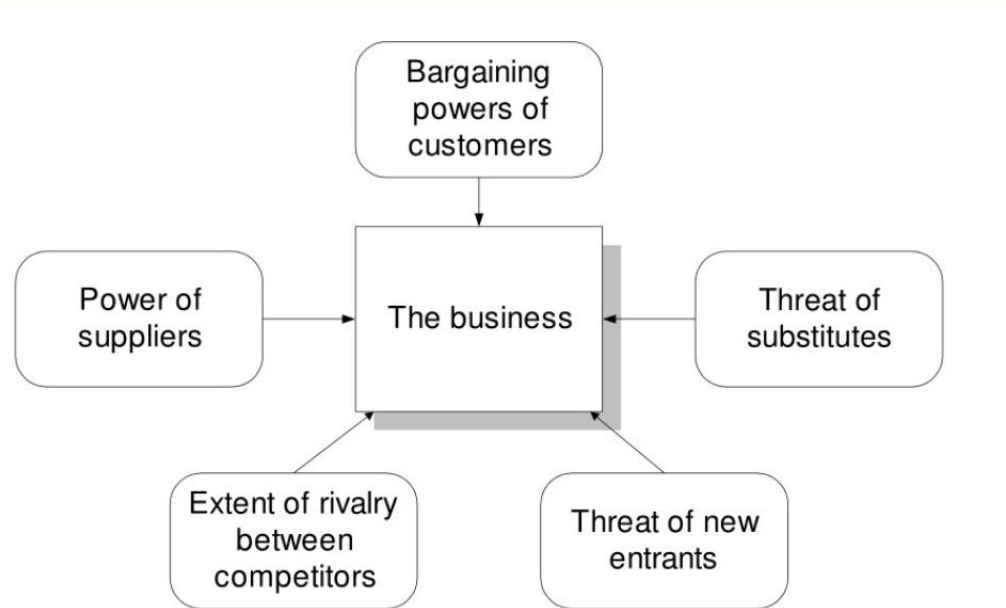
- Market trends and dynamics
- Competitive landscape
- Customer behavior patterns
- Regulatory environment
- Technological evolution

 **Strategic Framework:** Use SWOT analysis and the 5 Cs framework (Company, Collaborators, Customers, Competition, Context) to conduct thorough environmental scanning. Continuous monitoring ensures agility in rapidly changing markets.

Competitive Threats acting on e Businesses



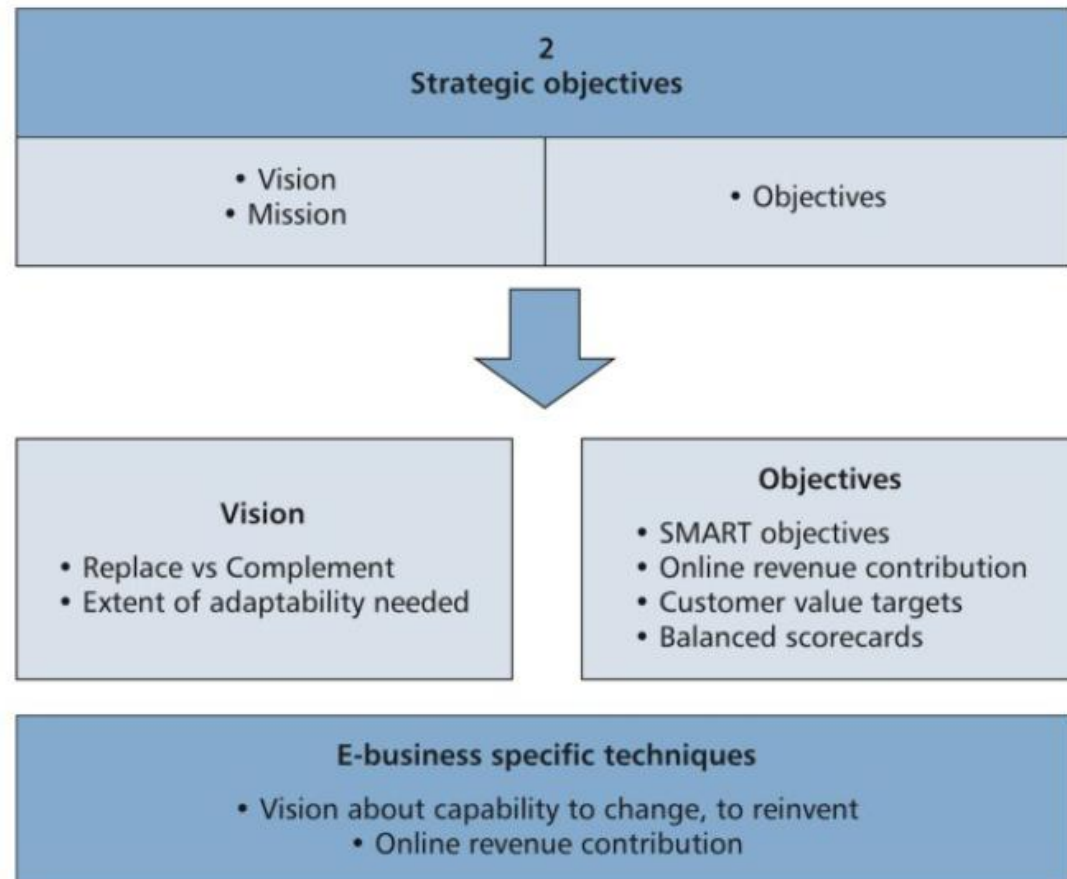
Porters 5 Forces Model



Porter's Five Forces Model is used to analyze the competitive intensity and attractiveness of an industry. It helps organizations understand profitability potential, competitive pressures, and strategic positioning.

- 1. Threat of New Entrants :** Refers to how easily new competitors can enter the market. In e-business, entry barriers may be lower due to digital platforms and cloud technologies.Strong brand loyalty, high capital requirements, or economies of scale reduce this threat.
- 2. Bargaining Power of Buyers :** Measures the ability of customers to influence prices and quality.Online customers have high bargaining power due to easy price comparison and multiple alternatives.Companies must focus on value, service quality, and differentiation to retain customers.
- 3. Bargaining Power of Suppliers :**Indicates the influence suppliers have over pricing and input availability.In digital businesses, key suppliers may include technology vendors, software providers, and logistics partners.Supplier power is high when there are few alternatives or switching costs are high
- 4. Threat of Substitute Products or Services :** Represents the availability of alternative solutions that satisfy the same customer need. Digital markets face strong substitution threats due to rapid innovation and changing customer preferences. Businesses must continuously innovate to remain relevant.
- 5. Competitive Rivalry within the Industry :** Refers to the level of competition among existing players .E-business markets often experience intense rivalry due to global reach and low switching costs. Competition may be based on price, features, customer experience, or delivery speed.

Strategic Objective Setting in e Busienss



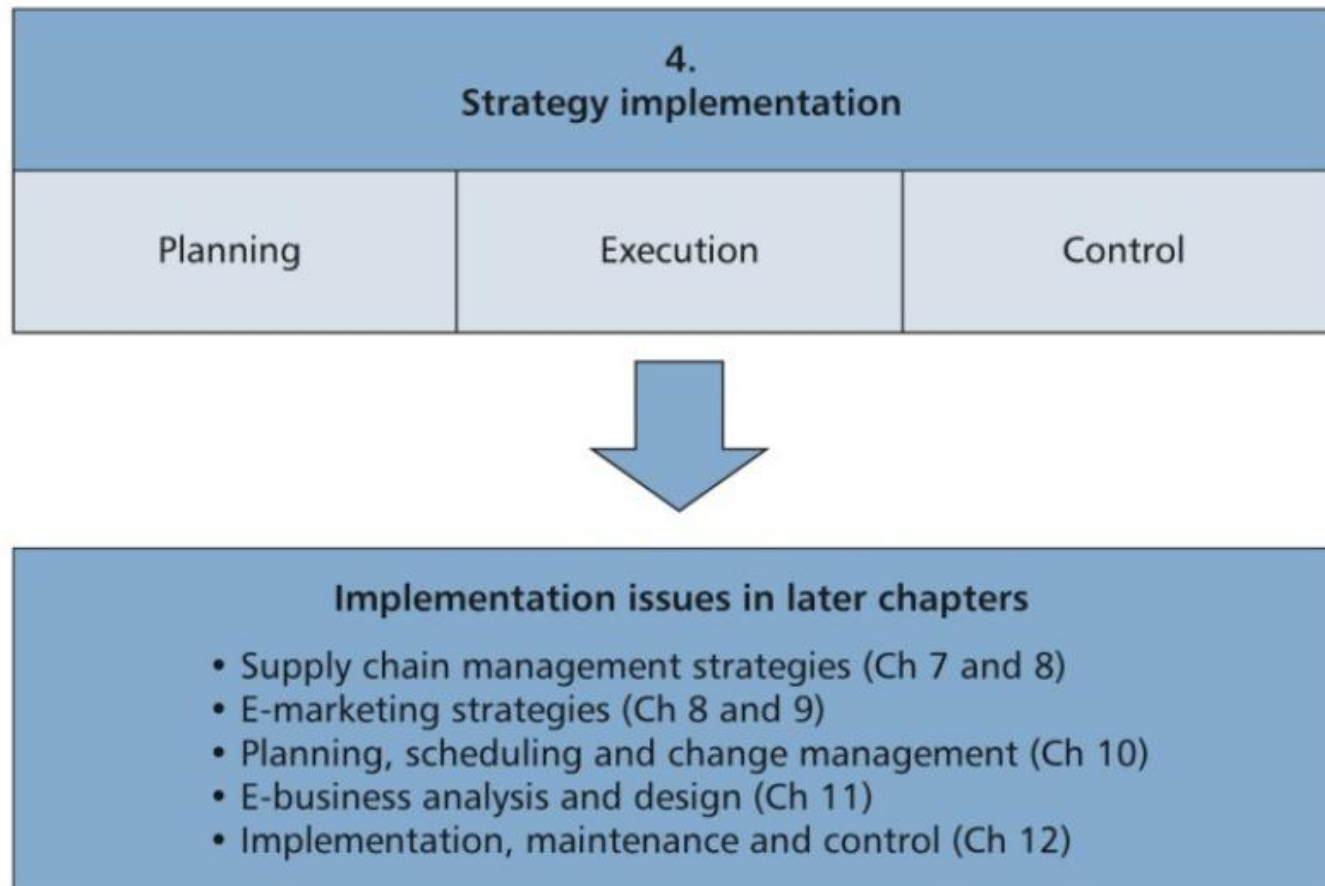
- Focuses on the importance of clearly defining strategic objectives before implementing e-business initiatives.
- Strategic objectives provide direction and purpose, ensuring that digital efforts support overall business goals.
- Emphasizes that e-business objectives should be aligned with organizational vision and strategy, not treated as standalone IT goals.
- Objectives in e-business typically address areas such as:
 - Online revenue growth
 - Customer acquisition and retention
 - Digital customer experience improvement
 - Operational efficiency through digital processes
- Highlights the need for measurable and specific objectives, often defined using KPIs such as conversion rates, website traffic, customer engagement, or cost reduction.
- Stresses that objectives should be realistic and achievable, based on available resources, technology readiness, and market conditions.
- Encourages prioritization of objectives to ensure focused execution, especially in resource-constrained environments.
- Underlines that strategic objectives must be reviewed and refined regularly, as digital markets and customer expectations change rapidly. Serves as a bridge between strategy formulation and implementation, ensuring that execution efforts are goal-oriented and performance-driven.

Strategic definition in e-Busiensses



- Serves as a continuation and reinforcement of the concept of strategic objective setting in e-business. Emphasizes that strategic objectives are the central link between strategy formulation and execution.
- **Reinforces the idea that e-business objectives must be:** Clearly defined Strategically aligned Focused on measurable outcomes Highlights that objectives act as a direction-setting mechanism, ensuring all digital initiatives move toward common business goals.
- **Illustrates that well-defined objectives help organizations :** Prioritize digital projects, Allocate resources effectively, Evaluate performance consistently, Underlines that strategic objectives are not static, but need regular review as market conditions and technologies change.

Strategic Implementation in e-Businesses



- Strategic implementation refers to the process of translating e-business strategy into actionable plans and real-world execution. It focuses on how strategies are put into practice, rather than what the strategy is.
- Emphasizes that even the best-designed e-business strategies can fail without effective implementation.
- In e-businesses, implementation involves integrating technology, processes, people, and organizational structure. Requires alignment between: Strategic objectives Digital initiatives Operational capabilities.
- Highlights the importance of organizational readiness, including culture, skills, and leadership support.
- It involves setting up:
 - Appropriate IT infrastructure Digital platforms and tools ,Process workflows Stresses that implementation is not a one-time activity, but an ongoing process that evolves with market and technological changes.
 - Recognizes common implementation challenges such as: Resistance to change, Lack of coordination across departments, Underestimation of operational complexity



Putting Strategy into Action: Implementation Essentials



Committed Leadership

Executive sponsorship and visible support drive organizational buy-in and resource allocation.



Adequate Investment

Allocate sufficient financial resources and time for proper implementation without shortcuts.



Skilled Teams

Build cross-functional teams with the right mix of technical and business expertise.



Collaboration

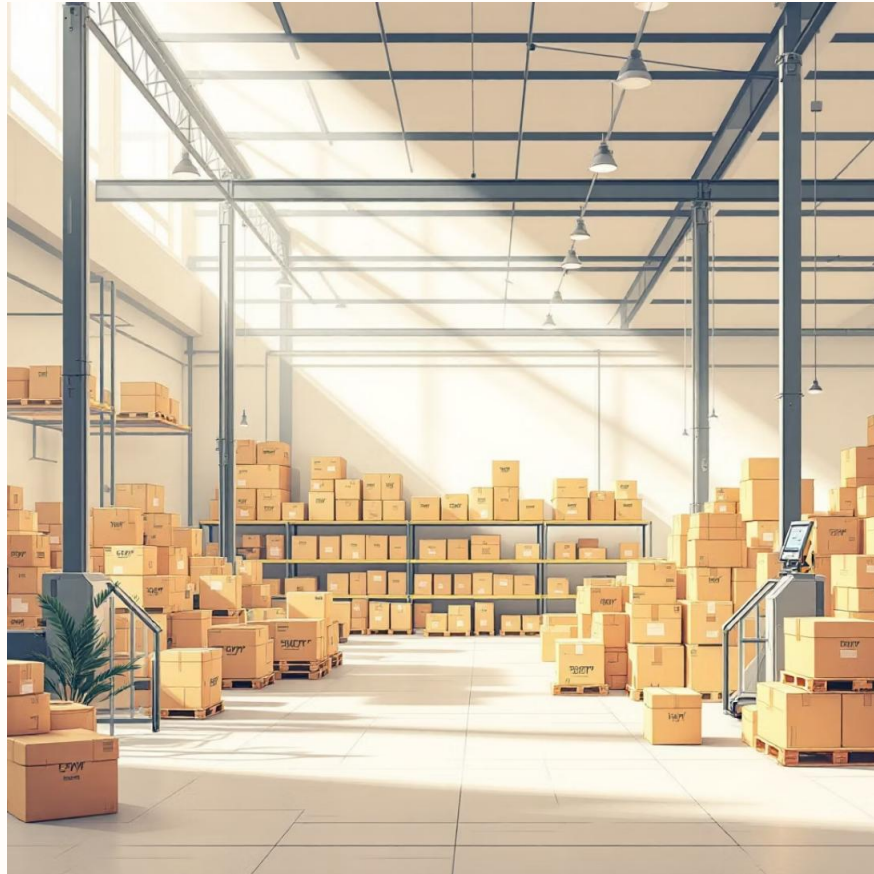
Foster communication across departments and with external partners for seamless execution.

"Use iterative assessment to learn and adapt continuously. The most successful implementations embrace agility and view challenges as learning opportunities."



Common Pitfall: Organizations often underestimate the operational complexities and cultural shifts required for successful e-business transformation. Plan for change management from day one.

eBags: Managing Growth Through Strategic Choices



Key Strategic Considerations

eBags faced a critical choice between geographic expansion into Europe or diversifying their product portfolio by adding shoes to their luggage offerings.

Beyond Marketing

Leaders focused on the holistic business view, considering operations, supply chain, customer service, and technology infrastructure—not just marketing potential.

Operational Readiness

The case demonstrates the critical importance of ensuring operational capabilities match strategic ambitions before committing resources.

Strategic Foresight

Careful analysis of internal capabilities and market opportunities guided decision-making rather than reactive expansion.

Dot-Com Survival

Successfully navigated the 2000s bust when most e-retailers failed

1

Profitable Growth

Achieved 7 consecutive profitable quarters by 2004

2

Strategic Crossroads

Decision point: European expansion or product diversification

3

Matas: Digital Transformation Excellence



CEO-Centered Strategy

Leadership focused strategy on online revenue growth with innovative "test and learn" budgeting approach that encouraged experimentation.



Structural Reorganization

Restructured the entire company to support digital execution, breaking down silos and creating cross-functional digital teams.



Quick Wins Strategy

Demonstrated early successes to gain organizational momentum and secure continued buy-in from both employees and shareholders.



Financial Transformation

Achieved dramatic financial improvement and became a rare example of retail digital transformation success in a challenging market.

"Matas proved that with committed leadership, structural alignment, and a willingness to learn quickly, even traditional retailers can achieve digital excellence."



Key Takeaways for E-Business Strategy Success

Customer-Focused & Data-Driven

Build strategies around customer needs and let data inform every decision. Adaptability is essential as markets evolve.

Continuous Analysis

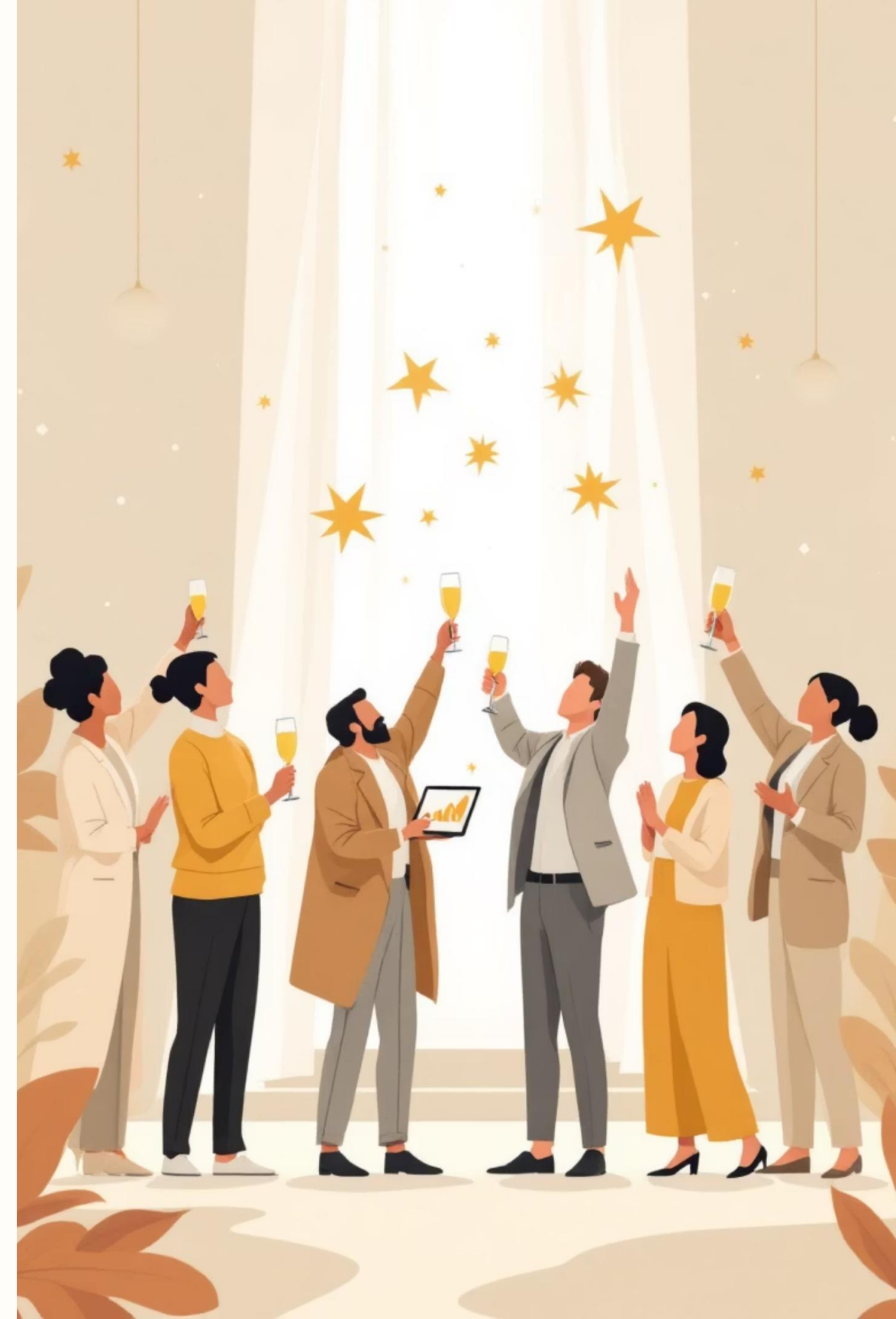
Internal and external factors require ongoing monitoring and assessment to maintain strategic relevance.

Execution Excellence

Success demands committed leadership, adequate resources, and cultural alignment throughout the organization.

Proven Approach

Real-world cases demonstrate that thoughtful strategy combined with agile implementation delivers measurable results.





Your Next Steps: Crafting Winning E-Business Strategies

1

Set Clear Objectives

Begin with measurable goals and develop deep market understanding

2

Apply Frameworks

Use strategic tools to evaluate internal and external factors systematically

3

Choose Wisely

Select strategies that fit your unique context and organizational capabilities

4

Execute Rigorously

Invest in implementation and embrace continuous learning for lasting success

Let's build your digital future with confidence and clarity.

The journey from strategy formulation to successful execution requires commitment, but the rewards—increased competitiveness, customer satisfaction, and sustainable growth—make it worth the effort.